

its NFT business recently, hasn't given up on crypto. "Currently we have thousands of sign-ups daily. During the peak, it was tens of thousands. Our trading volume has also dipped to 10-15 per cent of the peak," he says, explaining that many exchanges have had to tighten their belts because of a dip in trading volumes. "We laid off people because of a decline in business but we have enough [financial] runway to continue with our business. WazirX has always been a profitable company. It is only during the last few months that we are into losses. But they are not huge and we're focussed on turning profitable again," says a confident Shetty. He adds that there has been no change in the operational structure of WazirX as a result of his move to Dubai.

90 | The volatility of the crypto market in India has prompted the founders of many exchanges to move out

of the country, say experts. "No other country is doubling down on crypto at the pace at which India is. Major crypto exchanges continue to have their base in countries like Singapore and Dubai," says Ravi Sawana, Associate Partner at law firm Lakshmikumaran & Sridharan.

That said, some founders and exchanges have persisted with India, but they have been forced to look at alternatives to sustain their business. "Like many other players in the industry, we have used this period of slowdown as an opportunity to focus on building and simplifying Web 3.0 for the masses. Since our establishment in 2018, our mission at CoinDCX has remained unchanged: to simplify the investment process and accelerate the adoption of crypto and Web 3.0," says Bengaluru-based Sumit Gupta, CEO and Co-founder of CoinDCX, adding that through its venture

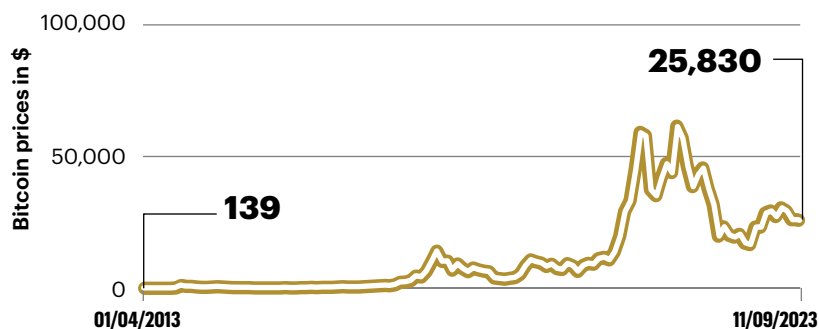
capital arm CoinDCX Ventures, the company has invested in more than 15 Web 3.0 start-ups. The other thing CoinDCX is focussing on, says the IIT Bombay alumnus, is the decentralised finance (DeFi) ecosystem. The company has launched the DeFi wallet called Okto, providing users with the ability to swap tokens and generate earnings through decentralised finance services. DeFi utilises distributed ledger technologies of blockchain to provide services such as lending without the need for traditional centralised intermediaries. "As we look ahead, we are confident that we are just scratching the surface of what is possible in this incredibly exciting time for CoinDCX and the Web 3.0 industry as a whole," says Gupta.

Then there's Ashish Singhal, Co-founder and CEO of Bengaluru-based CoinSwitch. The company, which boasts of a user base of 18 million, plans to launch another vertical where it can cash in on its crypto base to sell mutual funds and fixed deposits. "A lot of Indians started their investing journey with crypto. We want to grow with them, provide them with the right assortment of asset classes—simplified and tailored for their needs. This includes products like fixed deposits, mutual funds and more. We are aiming to announce these products by the end of this financial year," says Singhal.

Does that mean a shift from its core crypto business? "At heart, we will always be a crypto-first investing platform. But the problem that we are trying to solve is bigger. Just about 3 per cent of Indians actively invest in stocks; the participation rate in mutual funds is similar. For India to have true economic participation, the retail participation in markets should be much higher... more Indians should be investing," says Singhal. But it may not be easy for the exchanges to diversify, given

TRENDSETTER

- 1 **BITCOIN REACHED AN ALL-TIME HIGH ON NOVEMBER 10, 2021, AT \$68,789.63. SINCE THEN, IT IS DOWN 62 PER CENT**
- 2 **BITCOIN ACCOUNTS FOR NEARLY 50 PER CENT OF THE MARKET SHARE FOR CRYPTOS**



DATA TILL SEPTEMBER 11, 2023 (12:44 PM IST); SOURCE COINMARKETCAP.COM